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B3(f)
Trading losses

Lecture example 1-Solution

		Trading profit/loss £	
2023-24 10,000×3/12+(30,000)×9/12		(20,000)	
2024-25 (30,000)×3/12+20,000×9/12		7,500	
2025-26 20,000×3/12+40,000×9/12		35,000	
	2023-24 £	2024-25 £	2025-26 £
Trading profits	0	7,500	35,000
Less: carry forward loss relief	(0)	(7,500)	(12,500)
Total income	0	0	22,500
Less: personal allowance	(0)	(0)	(12,570)
Taxable income	0	0	9,930
Loss memo:	£		
Trading loss in 2023-24	20,000		
Less: claim in 2024-25	(7,500)		
claim in 2025-26	(12,500)		
	0		

Lecture example 2-Solution

	2022-23 £	2023-24 £	2024-25 £	2025-26 £
Trading profits	20,000	0	0	8,000
Less: carry forward trade loss relief	0	0	0	(8,000)
Savings income	10,000	10,000	10,000	10,000
Total income	30,000	10,000	10,000	10,000
Less: carry back loss relief	(30,000)			
Less: personal allowance	(0)	(10,000)	(10,000)	(10,000)
Taxable income	0	0	0	0

Lecture example 2-Solution

Loss memo:	£
Trading loss in 2023-24	40,000
Less: used 2022-23	(30,000)
used 2025-26	(8,000)
Trading loss in 2024-25	24,000
Trading loss to be carried forward	26,000

Lecture example 3-Solution

	2024-25 £	2025-26 £
Trading profits	40,000	0
Property income	100,000	100,000
Total income	140,000	100,000
Less: carry back loss relief	(90,000) (W1)	
current year loss relief	-	(50,000) (W2)
Total income	50,000	50,000
Less: personal allowance	(12,570)	(12,570)
Taxable income	37,430	37,430
Working 1: 2024-25		
Cap: higher of £50,000 and 25%× £140,000. So, claim is £40,000+ £50,000=£90,000		
Working 2: 2025-26		
Cap: higher of £50,000 or 25%×100,000. So, claim is £50,000.		

Lecture example 3-Solution

Loss memo:	£
Trading loss in 2025-26	200,000
Less: used 2024-25 (W1)	(90,000)
used 2025-26 (W2)	(50,000)
Trading loss c/f	60,000

Lecture example 4-Solution

Use early trade loss relief

	2019-20 £	2020-21 £	2021-22 £	2022-23 £	2023-24 £
Employment income	48,000	48,000	48,000	0	0
Trading profits	0	0	0	0	0
Total income	48,000	48,000	48,000	0	0
Less: early trade loss relief	(48,000)	(42,000) (6,000)	(24,000)		
Total income	0	0	24,000	0	0

Lecture example 4-Solution

Loss memo:	£
Trading loss in 2022-23	90,000
Less: used 2019-20	(48,000)
used 2020-21	(42,000)
	0
Trading loss in 2023-24	30,000
Less: used 2020-21	(6,000)
used 2021-22	(24,000)
	0

Lecture example 4-Solution

Alternative: Use carry forward loss relief

	2022-23 £	2023-24 £	2024-25 £	2025-26 £	2026-27 £
Employment income	0	0	0	0	0
Trading profit	0	0	43,000	60,000	79,000
Less: carry forward loss relief			(43,000)	(47,000) (13,000)	(17,000)
Total income	0	0	0	0	62,000

Lecture example 4-Solution

Loss memo:	£
Trading loss in 2022-23	90,000
Less: used 2024-25	(43,000)
used 2025-26	(47,000)
	0
Trading loss in 2023-24	30,000
Less: used 2025-26	(13,000)
used 2026-27	(17,000)
	0

Lecture example 4-Solution

Alternative: Use carry back loss relief and carry forward loss relief

	2021-22 £	2022-23 £	2023-24 £	2024-25 £	2025-26 £	2026-27 £
Employment income	48,000	0	0	0	0	0
Trading profit	0	0	0	43,000	60,000	79,000
Less: carry forward loss relief				(42,000) (1,000)	(29,000)	
Total income	48,000	0	0	0	31,000	79,000
Less: carry back loss relief	(48,000)					
Total income	0	0	0	0	31,000	79,000

Lecture example 4-Solution

Loss memo:	£
Trading loss in 2022-23	90,000
Less: used 2021-22	(48,000)
used 2024-25	(42,000)
	0
Trading loss in 2023-24	30,000
Less: used 2024-25	(1,000)
used 2025-26	(29,000)
	0

Lecture example 5-Solution

a) Terminal loss relief	
2024.10.1 - 2025.9.30 12 months	£
Loss from 2025.4.6 to 2025.9.31 (£39,000) ×6/9	(26,000)
Loss from 2024.10.1 to 2025.4.5 (£39,000) ×3/9 + £20,000×3/12	(8,000)
Terminal loss	(34,000)

Lecture example 5-Solution

	Trading profit/Loss			
2022-23 30,000×9/12+25,000×3/12	28,750			
2023-24 25,000×9/12+20,000×3/12	23,750			
2024-25 20,000×9/12+(39,000)×3/9	2,000			
2025-26 (39,000)×6/9	(26,000)			
	2022-23 £	2023-24 £	2024-25 £	2025-26 £
Trading income	28,750	23,750	2,000	0
Terminal loss relief	(8,250)	(23,750)	(2,000)	0
Total income	20,500	0	0	0

Lecture example 5-Solution

Loss memo:	£
Terminal loss	34,000
Less: used 2024-25	(2,000)
used 2023-24	(23,750)
used 2022-23	(8,250)
	0

Lecture example 5-Solution

b)	2022-23 £	2023-24 £	2024-25 £	2025-26 £
Trading profit	28,750	23,750	2,000	0
Other income	0	0	30,000	30,000
Total income	28,750	23,750	32,000	30,000
Less: carry back loss relief			(26,000)	
Total income	30,000	25,000	6,000	30,000

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谢谢观看

THANK FOR WATCHING